

Apple Inc.
AAPL NASDAQ

Buy	\$339.78 ▲ 1.15%	12M Price Target \$375.00	52-Week Range \$243.42 – \$345.34	Market Cap \$4.96T
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AAPL: Riding US-China Thaw and Qualcomm Chip Deal Reset

WHAT HAPPENED

- AAPL popped 1.15% to close near all-time highs (\$339.78, right at the top of its 52-week range). The catalyst: Tim Cook reportedly got one of four "head table" seats at the US-China state dinner — that's a big political signal that Apple is being positioned as a bridge company in the thaw, which matters because ~17% of revenue and most of its manufacturing runs through China.
- Qualcomm rallied 6% on news that Apple is renewing its modem chip deal (reversing an earlier selloff on fears Apple would go fully in-house). Translation: Apple's own modem chip isn't ready for prime time yet — slight negative for the "vertical integration" story, but removes a supply chain risk near-term.

WHY IT MATTERS

The head-table invite is more meaningful than it sounds — in this administration, physical proximity to the President during a foreign policy event has translated directly into tariff carve-outs and export license approvals. If US-China relations genuinely stabilize, Apple's biggest overhang (tariff risk on iPhones assembled in China) fades, and that's worth a multiple re-rating on its own. The Qualcomm renewal is a small tell that Apple's AI/silicon roadmap is running slightly behind schedule internally — not a thesis-breaker, but watch whether the iPhone 18 cycle next fall leans more on Qualcomm than expected. Bottom line: this stock is trading at 95% of its 52-week range on POLITICAL momentum as much as fundamentals, so the risk is any breakdown in the China dialogue hits fast.

POLICY & POLITICAL WATCH

The single biggest policy variable for Apple is the ongoing US-China tariff negotiation — any deal that formalizes an exemption for consumer electronics assembled in China would be a direct EPS boost (analysts estimate 3-5% margin uplift). Separately, keep an eye on the DOJ antitrust case around the App Store — a forced restructuring of the 30% commission ("Apple tax") on developers would hit Services revenue, which is the highest-margin part of the business. Also watch the EU Digital Markets Act enforcement actions ramping up — Brussels has been the more aggressive regulator here, and any new fine or forced sideloading rule expands beyond Europe.

IS IT EXPENSIVE?

At \$339, AAPL trades around 43x forward earnings — meaning you're paying \$43 today for every \$1 of profit Apple will make next year. That's rich versus its own 10-year average of ~25x, and priced for the AI/Services growth story to actually deliver. Justified only if Services keeps compounding at 12%+ and China stabilizes — if either wobbles, this multiple compresses fast.

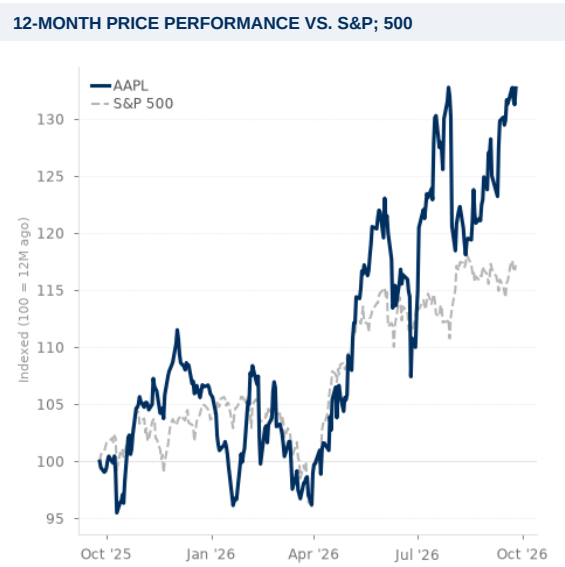
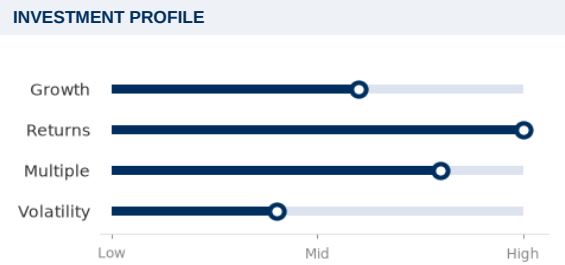
WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-09-25 17:28 UTC

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Key Data	
Price (USD)	\$339.78
12M Price Target	\$375.00
Upside / (Downside)	+10.4%
Market Cap	\$4.96T
FY2026E Revenue	\$445M
FY2027E Revenue	\$478M
FY2026E EPS	\$7.85
FY2027E EPS	\$8.70
Fwd P/E	43.3x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$355.00	\$345.00	\$325.00
6 Months	\$385.00	\$360.00	\$305.00
1 Year	\$420.00	\$375.00	\$285.00
2 Years	\$500.00	\$425.00	\$270.00
5 Years	\$700.00	\$550.00	\$300.00
10 Years	\$1100.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+3.95% over 5 days) is dominating — driven by AI capex momentum and the perception that the current administration is friendlier to Big Tech than the prior one on M&A and export policy. Industrials also firming on infrastructure spending flows.

COOLING OFF: Financials (-1.55% over 5 days) — rate cut expectations getting priced out is pressuring bank margins. Consumer Staples also weak, which tells you money is chasing risk, not hiding in defensives.

ROTATION WATCH: Money is flowing INTO mega-cap tech and out of rate-sensitive defensives — classic "risk-on" positioning ahead of what traders think will be a China deal announcement. That's a direct tailwind for AAPL.

RELATED PLAY: If Apple's China thaw thesis plays out, the semiconductor names in Apple's supply chain benefit even more (Qualcomm just showed you that in real-time with today's 6% pop). Broadcom (AVGO) and Skyworks (SWKS) are the other picks-and-shovels plays.

WHO'S WINNING IN THIS SPACE?

- QCOM (Qualcomm): +6% today on the Apple modem renewal — a direct beneficiary of Apple's silicon roadmap slippage.
- META (Meta Platforms): Building out VR/AR portfolio aggressively, seen as the main challenger to Apple's Vision Pro — Meta's strength here is putting some competitive pressure on AAPL's spatial computing narrative.

AAPL CONTEXT: Apple is leading the mega-cap pack today but only modestly — it's participating in the tech rally rather than driving it. That's actually healthy: it means the stock is being bid on stock-specific catalysts (China, Qualcomm deal) rather than just riding sector beta. Suggests the move has legs.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 5-8% of portfolio (core holding)

Entry Points: \$325-335 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: China revenue drops >15% YoY or iPhone unit sales miss materially two quarters in a row

Hedging: Buy protective puts 5-10% out of the money, or pair with a short in a richer-multiple mega-cap like a hyperscaler trading at 40x+ earnings